

GERMANY 2012

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1. Overview of the tax-benefit system

The laws for modern services on the labour market (*Gesetze für moderne Dienstleistungen am Arbeitsmarkt*) reformed the welfare system of the Federal Republic of Germany in respect of unemployment. This involved the merging, as of 1st January 2005, of the former unemployment assistance and social assistance for persons who are able to work, to form a single basic jobseekers allowance (*Grundsicherung für Arbeitsuchende*). Social assistance was reformed as well, restricting eligibility to claimants older than 65 years of age and to those who are permanently (*Grundsicherung im Alter und bei Erwerbsminderung*) or temporarily (*Hilfe zum Lebensunterhalt*) unable to work. For the housing benefit (general and under social assistance) the city of Berlin is used as a reference region. Child care fees are calculated according to the scheme used in the city of Hamburg.

1.1. Average Worker Wage (AW)¹

The average wage for 2012 is EUR 44811.

2. Unemployment insurance

2.1 Conditions for receipt

Claimants have to be:

- Younger than the legal retirement age.
- Registered unemployed.
- Looking and available for work.

¹ AW refers to the Average Wage estimated by the Centre for Tax Policy and Administration (www.oecd.org/ctp). For more information on methodology see *Taxing Wages 2007-2008*, OECD, 2009, part IV.

Unemployment insurance is compulsory.

2.1.1 *Employment conditions*

A claimant must have worked at least 12 months to be eligible.

2.1.2 *Contribution conditions*

Contributions must have been made for at least 12 months in the last 2 years.

2.2 ***Calculation of benefit amount***

2.2.1 *Calculation of gross benefit*

The benefit is paid to the individual. The replacement rates are 60 per cent of their previous earnings net of tax and social security contributions (*Note: Net of tax means the monthly salary after deductions of corresponding taxes and contributions as in individual basis*), and 67 per cent for a worker with at least one dependent child. The monthly ceilings are 60 and 67 per cent of EUR 5.600 (west) and 4.800 (east) monthly gross earnings, respectively.

2.2.2 *Income and earnings disregards*

People earning less than EUR 400/month do not qualify for unemployment insurance contributions. People receiving UI may work less than 15 hours a week; working 15 hours or more stops all benefit entitlements.

2.3 ***Tax treatment of benefit and interaction with other benefits***

Unemployment insurance pays a net benefit: it is not taxable.

2.4 ***Benefit duration***

There is no waiting period. The duration of payment depends on age and employment record according to the following table. Benefits are paid 30 days per month.

Contribution period (months)	Benefit payment	
	Varying with age	Duration (months)
12		6
16		8
20		10
24		12
30	50.	15
36	55.	18
48	58.	24

2.5 *Treatment of particular groups*

2.5.1 *Young persons*

No special treatment.

2.5.2 *Older workers*

Unemployed people may qualify for retirement at 60 years under the following conditions: they are born before 1952, have contributed for at least 15 years to the old age security system, have within the last 10 years an 8-year employment record and have been unemployed for 12 months within the last 18 after the age of 58 years and 6 months. The beginning of retirement in the age of 60 causes a reduction of the old age pension by 18 per cent.

Women have the right to a pension at age 60 if they are born before 1952, have an employment record after the age of 40 for at least 10 years and one month and have contributed at least 15 years to the old age security system. The beginning of retirement at the age of 60 causes a reduction of the old age pension by 18 per cent.

Anyone who has contributed for at least 35 years to the old age security system can retire at 63 years, the normal pension age is 65. The beginning of retirement at the age of 63 causes a reduction of the old age pension by 7.2 per cent.

Persons have the right to a pension at age 60 after a qualifying period of 35 years if they are registered as severely disabled, occupationally disabled or as an invalid when pension payments are due to begin. The beginning of retirement at the age of 60 causes a reduction of the old age pension by 10.8 per cent.

2.5.3 *Others if applicable*

For family member careers, employees in other EU countries and self-employed, insured in the unemployment insurance before, could insure themselves on a voluntary basis.

3. Unemployment assistance/social assistance

As of 1st January 2005, unemployment assistance and social assistance for persons who are able to work were combined into one benefit, the basic jobseekers allowance (unemployment benefit II).

Unlike unemployment benefit, the basic jobseekers allowance is a tax-financed, needs-based and means-tested public welfare benefit.

3.1 *Conditions for receipt*

Prerequisites for receiving the basic jobseekers allowance:

- age between 15 up to but not including 65 years (will increase by the increase of statutory retirement age),
- able to work
- in need of aid
- usually resident in the Federal Republic of Germany
- foreign nationals also must have or be eligible to the permission to work.

Not only the person who has filed the application, but also those who live with this person in a need unit receive basic allowance benefits. Persons in need of aid who are able to work receive unemployment benefit II, those who are unable to work and live together with the unemployment benefit II recipient, receive social allowance. However, the basic elements of both benefits are similar.

3.1.1 *Employment conditions*

Persons who continue to be unemployed when their claim to unemployment benefit has expired or persons who are able to work and whose income is not sufficient to secure their own and their family's livelihood are eligible to unemployment benefit II.

3.1.2 *Contribution conditions*

No Contributions must have been made. Applicants just have to be in need of aid.

3.2 *Calculation of benefit amount*

3.2.1 *Calculation of gross benefit*

Unemployment benefit II is made up of the following benefits:

- **Basic needs assistance** (BNA) to secure the recipients' livelihood (covers the demand for food, personal care, household goods, everyday needs). It includes a lump-sum for non-recurring and recurring needs.

BNA level 1	BNA level 2	BNA level 3	BNA level 4	BNA level 5	BNA level 6
374	337	299	287	251	219

The basic needs assistance is adjusted annually on 1st July in line with the weighted average of the increase gross salary by employee (30%) and the increase of prices of the relevant goods and services for the calculation the basic needs assistance.

Basic needs assistance level 1

Single or lone parent who have a household of their own or adult member of household (with spouse or spousal equivalent up to the completion of their 18th year of life).

Basic needs assistance level 2

Two adult members of household.

Basic needs assistance level 3

Adult member of a household, who doesn't run his/her own household starting from their 19th year of life up to the completion of their 25th year of life.

Basic needs assistance level 4:

member of household starting from their 15th year of life up to the completion of their 18th year of life.

Basic needs assistance level 5:

member of household starting from their 7th year of life up to the completion of their 14th year of life.

Basic needs assistance level 6:

Member of household up to the completion of their 6th year of life.

Children under the age of 25 have been reintegrated into their parents need unit.

The only option to move out of their parents need unit is, if there are serious social reasons or if it is necessary for their integration into the labour market. (vgl. Gesetz zur Änderung des Zweiten Buches Sozialgesetzbuch und anderer Gesetze).

- **Additional needs allowances** for extra expenses not covered by the standard benefit
 - for expectant mothers from the 13th week of pregnancy
 - for lone parents depending on the age and number of children
 - for persons with disabilities
 - for expensive nutrition if demonstrably required for medical reasons
- **Housing and heating allowance** covering the actual expenses, if reasonable (see 5.2.b)
- **One-off benefits** for needs not covered by the standard benefit
 - initial flat furnishing including household appliances,
 - initial set of clothes incl. in case of pregnancy and childbirth
- Insurance contributions towards the statutory health insurance and long-term care insurance
- **Education and participation package**

From 1st January 2011 Families with children and youths under 18 or 25 years are in principle entitled to benefit from the education and participation package if they receive:

- Jobseekers allowance or
- Welfare assistance or basic financial assistance in old age and partial reduction in earning capacity (Grundsicherung im Alter und Erwerbsminderung) or
- Allowance according to the section 2 of asylum-seeker law or
- Housing and heating allowance or

- Supplementary Child allowance

The education and participation package comprise the following benefits:

For children and youths below 18 years:

- Participation in sports and cultural activities 10 € per month.

For children and youths below 25 years:

- general schools and vocational training schools
 - School requisites: 100 € per school year;
 - Trips and several days trips within (school) law provisions: actual costs of the trips in full amount organized by a school or a day-care centre;
 - Pupil way to school: Costs that are not covered by others or by the normal requirement;
 - Learning assistance: Reasonable customary charges for learning assistance in full amount (Confirmation from the school that the support is necessary to reach the class objective).
- nursery schools or child day care, general schools and vocational training schools
 - Costs of the lunch offered at the day-care centre/- day-care or at school (1 € own share).

The basic allowance is composed of the following:

Standard basic rate for the head-of-household or persons living alone	
+	Standard rates for any other household members
+	Any extra allowances for additional needs
+	Rent and utilities
	Heating costs
=	Social assistance need
<i>minus</i>	Net income (- earning disregards)
=	Actual cost-of-living assistance to be paid

3.2.2 *Income and earnings disregards*

Other benefits are only counted towards the unemployment benefit II if they serve the same purpose, which is to secure the recipients' livelihood. Where the income serves another purpose, it will be disregarded if the beneficiary does not do so well out of these benefits that additional receipt of the unemployment benefit II is unreasonable.

Income is regarded if it serves the same purpose and the ceilings for extra income are exceeded.

A basic allowance of 100 € was introduced. For gross incomes above the first 100 € the rate of withdrawal of UB II was reduced to 80 % up to a gross income of 1000 € and to 90 % in a range between 1000 € and 1200 € for single workers (up to 1500 € for working recipients with children).

3.3 Tax treatment of benefit and interaction with other benefits

not taxable

3.4 Benefit duration

Unemployment benefit II is granted for an indefinite period of time, if the eligibility criteria are permanently fulfilled.

To allow need for aid to be verified at reasonable intervals, the benefits are usually granted for six months.

3.5 Treatment of particular groups

3.5.1 Young persons

Young persons up to age 25 are particularly supported under the basic jobseekers allowance. They immediately have to be placed into jobs, training or a fixed-term opportunity to work with qualification possibilities. They have been reintegrated into their parents need unit and they can only move into an own flat, if there are serious social reasons or if the move is necessary for their integration into the labour market.

3.5.2 Older workers

As in the case of unemployment benefit, older persons in need of aid can have themselves released from placement into jobs. Comment: This rule is abolished but does apply for some people under the protection of legitimate expectations.

In addition, older persons in need of aid are subject to other free income ceilings: instead of 150 euros per year of life (not more than 16.250 Euros), they have 520 euros per year of life (not more than 33.800 euros) disregarded for unemployment benefit II purposes, if they are born before 1948.

3.5.3. Pregnant workers and workers who have recently given birth or are breastfeeding

During maternity leave - 6 weeks before and 8 weeks after the birth of the child (in the case of premature birth and birth of multiples the maternity leave after birth is 12 weeks) - employees insured in a statutory health insurance receive maternity pay up to 13 € per day. Employees insured in a private health insurance or insured in a statutory health insurance as a dependent receive the maternity pay by the government up to a limit of 210 € per month. Additionally the employer pays the difference between 13 € and average net wage.

The cost-bearers of the benefits are the statutory health insurance, employer and the federal state.

3.5.4 Others if applicable

For lone parents, persons with disabilities and persons who need an expensive diet, an additional needs allowance is paid in addition to the standard benefit rate (cf 3.2.1)

Seniors over 65 and adults over 18 years who exhibit a permanent and comprehensive work incapacity in consequence of medical reasons are entitled to a special form of social assistance, the so-called “Grundsicherung im Alter und Erwerbsminderung” (Chapter 4 of SGB XII, former “Gesetz über eine bedarfsorientierte Grundsicherung im Alter”). The amount of this benefit is equal to assistance towards living expenses in chapter 3 of SGB XII. Unlike the situation in case of assistance towards living expenses (Chapter 3 of SGB XII), no recourse is made to children or parents if their annual income is under €100.000. It is generally granted for a year at a time and it has to be applied for.

4. Social assistance

The social assistance benefit (*Sozialhilfe*) is very similar to the Unemployment Benefit II and it is paid at similar rates. It is not included in the tax and benefit model since unemployment benefit II is a more appropriate payment for unemployed people. Unemployment benefit II is discussed above in section 3. Further information about *Sozialhilfe* is provided by the Federal Ministry of Labour and Social Affairs: http://www.bmas.de/EN/Our-Topics/Social-Security/social_assistance.html

5. Housing benefits

The city of Berlin is used as a reference region for the housing benefit.

5.1 Conditions for receipt

Anyone with low income and high rent or high financial obligations resulting from his/her own dwelling (*i.e.* owner occupied) may be eligible.

A person who receives basic jobseekers allowance (SGB II, unemployment benefit II), assistance towards living expenses under Chapter 3 of SGB XII or needs-based pension supplement in old age and in the event of reduced earning capacity under Chapter 4 of SGB XII is not eligible to rent allowance. The actual costs of housing and heating, if reasonable, are already included in the unemployment benefit II (cf 3, 4 and 5.2b).

5.2 Calculation of benefit amount

a. Benefits under the Rent Allowance Act (*Wohngeldgesetz*)

Households are eligible to apply for housing allowances irrespective of the type of housing tenure in which they live. Hence owner-occupiers, private tenants and social housing tenants are all eligible.

Housing allowance is granted as a tabulated housing allowance. The housing allowance entitlement is calculated using a formula which has three parameters: size of household, eligible income, and eligible housing costs (rent or burden of financial obligations). This formula is then translated into tables for different sizes of household, which show how much allowance a household is entitled to receive for different levels of income and housing costs. The tables group income and rent in bands, so that within each income band and each housing cost band, households are entitled to the same amount of allowance.

$$HA = 1.08 \cdot (M - (a + b \cdot M + c \cdot Y) \cdot Y) \quad [\text{for } HA \geq \text{EUR } 10 \text{ otherwise } 0]$$

Where:

Household size ¹ (persons)	Parameters of the rent burden function			Monthly household income (EUR)	
	a	b	c	Minimum Y _{min}	Maximum ² Y _{max}
1	6.3/100	7.963/10 000	9.102/100 000	210	820
2	5.7/100	5.761/10 000	6.431/100 000	250	1 120
3	5.5/100	5.176/10 000	3.250/100 000	270	1 380
4	4.7/100	3.945/10 000	2.325/100 000	320	1 810
5	4.2/100	3.483/10 000	2.151/100 000	350	2 080
6	3.7/100	3.269/10 000	1.519/100 000	370	2 350

1. Parameters also exist for household sizes from 7 to 12 persons.

2. Level of rent (“Mietenstufe”): category IV, also see https://www.bmvi.de/SharedDocs/DE/Anlage/BauenUndWohnen/Wohnen/liste-der-mietenstufen-der-gemeinden.pdf?__blob=publicationFile

“M” is the rounded monthly rent or home loan repayment to be taken into account.

“Y” is the rounded monthly income in Euros.

Any values for “M” and “Y” which are below the values set out in the following table shall be replaced by the figures in the table.

Household size (persons)	M	Y
1	45	205
2	55	245
3	65	265
4	75	315
5	85	345
6	85	365

1. Parameters also exist for household sizes from 7 to 12 persons (see ANNEX).

Note: Lump sum deductions on income are 6, 10, 20 and 30 per cent. These deductions are made from the individual income of each household member. Deductions depend on the payment of 1. taxes, 2. contributions to health insurance and nursing care insurance and 3. old age insurance (see section 16 of the Housing Allowance Act). If one of these conditions is fulfilled 10% are deducted, 20% if two conditions are fulfilled, and 30% if all three conditions are fulfilled. If none of the three conditions is fulfilled 6% are deducted.

The calculation is carried out in a specified order and subject to strict rounding methods at various stages.

5.2.1 *Calculation of gross benefit*

The amount of housing allowance depends on the number of the persons in the household, the eligible income and the eligible rent or burden of financial obligations (up to ceilings differentiated according to regional rent level, household size). The fixed amount for heating costs that was introduced in 2009, was revoked from January 2011 on. The maximum rent levels used for the purposes of this study are given in the table below:

Household size (persons)	Maximum monthly rent* (EUR)
1	358
2	435
3	517
4	600
5	688
For each extra person	83

*level of rent: category IV.

5.2.2 *Income and earnings disregards*

The housing allowance is linked to taxable income, to which numerous non-taxable income-components (with the exception of family benefits [*Kindergeld*]) are added, in order to approximate the net-household income as well as possible. For certain groups (*e.g.* households with disabled persons, lone-parents) free allowances are deducted from the imputed income.

b. Housing costs under the unemployment benefit II

Reasonable housing costs are determined according to the circumstances of each individual case, particularly family size, the age, sex and state of health of the family members. Based on these individual data of the beneficiary and their relatives, the number of rooms, the local rent level and the possibilities of the local housing market must be evaluated.

The reasonable rent per square metre is determined based on the rent for comparable lower end flats at the place where the beneficiary lives and can be seen from the local representative rent list. Failing this, other reference measures must be used, such as the maximum rates stipulated in the Housing Allowance Act (*Wohngeldgesetz*) that differ according to household size and local rent level. However, it must be borne in mind that amounts higher than those stipulated in the Housing Allowance Act tend to be the local rule in major cities, tourist centres or near-city communities with more than 20,000 population.

The following would be average reasonable flat sizes:

1 person	ca. 45 – 50 sqm
2 persons	ca. 60 sqm or 2 rooms
3 persons	ca. 75 sqm or 3 rooms
4 persons	ca. 85 – 90 sqm or 4 rooms

plus ca. 10 sqm or one room for each additional family member.

If the person in need of aid who is able to work, lives in a (reasonable) house of their own or condominium, housing costs include the liabilities involved (such as adequate mortgage interest, real property tax and other public charges, residential building insurance, ground rent, incidentals as in the case of rented flats, refuse collection fee, chimney sweep fee, street cleaning). Also regular expenses for heating are to be covered. By contrast, redemption rates cannot be considered. Their purpose is capital formation, which is not compatible with that of a welfare benefit.

The following are upper limits of reasonable monthly housing expenses applied in the social office (“job centre”) in the city of Berlin which is considered as “typical” for Germany (“angemessene Brutto-Warmmieten”) using heating oil in the second biggest total floor area (“Gebäudefläche”):²

1-Person household 394 €

2-Person household 473 €

3-Person household 587 €

4-Person household 665 €

5-Person household 766 €

For each additional person 95 € per month.

5.3 Tax treatment of benefit and interaction with other benefits

Recipients of unemployment benefit II receive benefits for housing and heating exclusively as specified in provisions of Social Code Book II (SGB II), additional benefits under the Rent Allowance Act are excluded.

5.4 Treatment of particular groups

5.4.1 *Young persons*

5.4.2 *Older workers*

5.4.3 *Others if applicable*

6. Family benefits

Family benefits, known as family tax credit *Kindergeld*, are awarded in the form of a monthly tax refund. Further direct cash transfers are the parental allowance (*Elterngeld*) and the supplementary child allowance (*Kinderzuschlag*).

6.1.1 Family tax credit (Kindergeld)

The family tax credit is paid to all children up to age eighteen. The period during which the family tax credit is paid is prolonged up to the age of 25 for children undergoing training, and up to age 21 for children without a job. Should military or civilian service be done by the child during this period, the maximum age-limit is adjusted correspondingly. There is no age-limit for handicapped children who are unable to earn their living.

² Source:

http://www.berlin.de/imperia/md/content/jobcenter/tempelhof-schoeneberg/mietobergrenzen_ab_mai12.pdf?start&ts=1336386363&file=mietobergrenzen_ab_mai12.pdf

Family tax credit (non wastable) is not income-related and is awarded in the form of a monthly payment. It is staggered by the number of the children. The rates applying since 1 January 2010 are EUR 184/month for the first and second child, EUR 190/month for the third child and EUR 215/month for the fourth and subsequent children.

The family tax credit is usually paid out by the local family office, otherwise by the private and public employers. The family tax credit is paid out to the person who cares for the children.

6.1.2 *parental allowance (Elterngeld)*

Mothers or fathers who take care of their newly-born children themselves and do not work or work only part-time (up to 30hrs on a weekly basis) receive a parental allowance. The parental allowance compensates 65 - 67 % of the average which the entitled person has received in the twelve months before birth. The upper limit of the parental allowance is EUR 1.800 per month. The granted minimum amount is EUR 300 per month (independent of the employment status before childbirth). The parental allowance is granted till the end of the 14th month of life of the child. The 14 months can be distributed between the mother and the father but one parent is only entitled to receive the parent allowance for 12 months. Single parents can receive the parental allowance for 14 months

6.1.3 *Supplementary child allowance*

Since 1st January 2005, parents whose income and property are sufficient to secure their own livelihood but not the maintenance of their children, can receive the so-called supplementary child allowance (*Kinderzuschlag*) on their behalf. The supplementary child allowance prevents parents from having to apply for unemployment benefit II/social welfare benefits (cf 3) only because of the maintenance of their children.³ Adjustments to the design of the calculation of the benefit took effect from October 1st 2008 on.

Conditions for benefit receipt

The following conditions must be met to be eligible for the benefit:

- a) Married parents or lone parents are raising a ***child or several children up to the age of 25*** living in their household for which they are eligible to receive the general family benefit (*Kindergeld*).
- b) ***Minimum income threshold (Mindesteinkommengrenze)***: For eligibility parents' gross income must reach at least the minimum income threshold which is EUR 900 per month for a married couple and EUR 600 per month for a lone parent. Earnings from work, unemployment benefit I and invalidity benefits count towards the parents' income. General family and housing benefits are not considered as income.
- c) ***Maximum income threshold (Höchsteinkommengrenze)***: If parents have a higher relevant income and wealth ("zu berücksichtigendes Einkommen und Vermögen") than the maximum threshold, they are not eligible to receive the benefit.

Net work income and unemployment insurance benefits count towards the relevant income, general family and housing benefit not. For work income the same earnings disregards apply as with the basic job seekers allowance (see Section 3.2.2).

³ See <http://www.arbeitsagentur.de/zentraler-Content/Veroeffentlichungen/Merkblatt-Sammlung/Merkblatt-Kinderzuschlag.pdf> for the scheme in place 2014. For the version in place 2010, see <http://www.helmholtz-muenchen.de/fileadmin/GLEICHSTELLUNG/PDF/Merkblatt-Kinderzuschlag.pdf> - reference values for the formulas used below have to be adjusted accordingly to 2012 levels.

The maximum income threshold is defined as the sum of the **intermediate threshold** (**Bemessungsgrenze**) which consists of

- the parents' need according to the rules for unemployment benefit II (*Regelbedarf*) plus potential additional needs (*Mehrbedarf*),
- plus the rent multiplied by the parents' fraction of housing cost (*Wohnanteil der Eltern*),

and the maximum of the additional child benefit the family could possibly receive. The additional child benefit to be paid out can reach up to EUR 140 per child per month that is a member of the household).

The formula for calculating the intermediate threshold (BM) is implemented as follows in the model:

$$BM = SA_parents + rent * fraction_rent_parents,$$

where $SA_parents$ is the social assistance rate parents would receive without having children (*Regelbedarf der Eltern*, see Section 3.2.1 Calculation of gross benefit),

$rent$ is approximated using the upper limits of reasonable monthly housing expenses under unemployment benefit II (see Section 3.2.2 Income and earnings disregards), and

$fraction_rent_parents$, the fraction of rent attributed to the parents, is based as stipulated by law on the 8th Report on minimum incomes (*Achter Existenzminimumbericht*):⁴

rent for parents	EUR 362
heating for parents	EUR 72
rent for lone parent	EUR 227
heating for lone parent	EUR 57
rent per child	EUR 73
heating per child	EUR 15

The parents' fraction of housing cost of living with one child is thus calculated as $(362 + 72) / (362 + 72 + 1 * (73 + 15))$.

d) Parents are only entitled to receive the additional family benefit, provided that it **avoids reciprocity of unemployment benefit II** ("Vermeidung der Hilfebedürftigkeit im Sinne der Vorschriften über das Arbeitslosengeld II").

⁴ Source:

<http://dipbt.bundestag.de/dip21/btd/17/055/1705550.pdf>

Calculation of benefit

If parents are eligible and their relevant income is below the intermediate threshold (Bemessungsgrenze), the family receives the full amount of the benefit per child (EUR 140). If the relevant parental income is above the intermediate threshold but below the maximum income threshold, the benefit is reduced by the following amount: For every EUR 10 that the relevant income exceeds the intermediate threshold, the maximum family benefit is reduced by EUR 1.

6.1.4 Education and participation support (Bildungspaket)

Since April 2011, parents entitled to the housing benefit or the supplementary child allowance with children up to 25 years can apply for the education and participation support to cover extra expenses due to school attendance and social activities of their children (see 3.2.1).

6.2 Income and earnings disregards

a. Family tax credit (Kindergeld)

b. Supplementary child allowance

Both the income and assets of the child and the parents' income are regarded under certain prerequisites and, if appropriate, counted towards the claim to supplementary child allowance.

6.3 Tax treatment of benefit and interaction with other benefits

Supplementary child allowance and unemployment benefit II are mutually exclusive. The parental allowance will not be taken into account by the calculation of unemployment benefit II or social assistance.

6.4 Treatment of particular groups

6.4.1 *Young persons*

6.4.2 *Older workers*

6.4.3 *Others if applicable*

7. Childcare for pre-school children

7.1 Out-of-pocket childcare fees paid by parents

Fees differ regionally, i.e. for each *Bundesland*. The fees in the following table are those for the city of *Hamburg* which is considered as representative for Germany. Fees are paid for every child in child care but differ by the number of children per family in child care. If more than one child stays in care the full fee has to be paid for the youngest child. For the older one 1/3 of the regular fee has to be paid, but at least the minimum fee. For further children the minimum fee has to be paid. Fees for child care depend on the family income and the household size (parents and number of children). For the last year before school enrolment (*Vorschuljahr*) child care is free up to 30 hours per week.

2011 Child Care (grey: minimum fee)	monthly fee for the first child in €, household size (persons)					
	Krippe/Kindergarten		Krippe/Kindergarten		Hort	
	< 5y; 50 h/w (6y; 50h/w)		3y to 5y; 30 h/w		6y to 14y, school children; 35h/w	
Net Income* (month)	3	4	3	4	3	4
1022	43 (16)	43 (16)	31	31	36	36
1023	43 (16)	43 (16)	31	31	36	36
1074	43 (16)	43 (16)	31	31	36	36
1125	43 (16)	43 (16)	31	31	36	36
1176	43 (16)	43 (16)	31	31	36	36
1227	43 (16)	43 (16)	31	31	36	36
1278	43 (16)	43 (16)	31	31	36	36
1329	44 (17)	43 (16)	31	31	36	36
1380	48 (18)	43 (16)	34	31	40	36
1432	54 (20)	43 (16)	38	31	44	36
1483	60 (23)	43 (16)	42	31	50	36
1534	66 (25)	43 (16)	47	31	54	36
1585	72 (27)	43 (16)	51	31	59	36
1636	78 (29)	43 (16)	55	31	64	36
1687	86 (32)	51 (19)	61	36	71	42
1738	95 (36)	60 (23)	67	42	78	50
1790	103 (39)	69 (26)	73	49	85	57
1841	112 (42)	77 (29)	79	55	93	64
1892	122 (46)	87 (33)	86	61	100	72
1943	132 (50)	97 (36)	93	69	109	80
1994	144 (55)	109 (41)	101	77	118	89
2045	155 (58)	121 (46)	110	85	128	100
2096	169 (64)	134 (51)	119	95	139	110
2147	182 (69)	147 (55)	128	104	150	121
2199	195 (74)	160 (60)	138	113	161	132
2250	208 (79)	173 (65)	147	122	171	143
2301	221 (84)	186 (70)	156	131	182	153
2352	234 (89)	199 (75)	165	141	193	164
2403	248 (94)	213 (80)	175	150	204	175
2454	262 (99)	228 (86)	185	161	207	187
2505	277 (104)	242 (91)	195	171	207	199
2556	292 (110)	257 (97)	206	182	207	207
2608	308 (116)	273 (103)	217	193	207	207
2659	324 (132)	289 (109)	229	204	207	207
2710	341 (149)	306 (114)	240	216	207	207
2761	357 (165)	323 (131)	252	228	207	207
2812	375 (183)	340 (148)	264	240	207	207
2863	393 (201)	358 (166)	277	253	207	207
2914	396 (204)	376 (184)	290	265	207	207
2965	396 (204)	394 (202)	303	278	207	207
3017	396 (204)	396 (204)	307	291	207	207
3068	396 (204)	396 (204)	307	304	207	207

3119	396 (204)	396 (204)	307	307	207	207
3170	396 (204)	396 (204)	307	307	207	207
3221	396 (204)	396 (204)	307	307	207	207
3272	396 (204)	396 (204)	307	307	207	207
3323	396 (204)	396 (204)	307	307	207	207
3375	396 (204)	396 (204)	307	307	207	207
3425	396 (204)	396 (204)	307	307	207	207
3475	396 (204)	396 (204)	307	307	207	207
3525	396 (204)	396 (204)	307	307	207	207
3575	396 (204)	396 (204)	307	307	207	207

Family income per year: Parents' gross income per year, less Werbungskosten, plus alimony payments, plus non-taxable income, plus government subsidies related to the subsistence of parents and children, less deductible amounts / basic untaxed amounts (Freibeträge) which the state foresees for the second and any further children.*

Please see annex for children under 3 years and 20 hours of childcare per week.

7.2 **Child-care benefits**

In Germany, general payments to subsidise or reduce the cost of child care do not exist. Day care and related services are offered on a lawful basis by local youth agencies, mostly funded by public means. Parents are asked to contribute according to their situation. Moreover, since 2006 two thirds of the cost for children up to the age of 14 years can be deducted as expenses from taxable income. The maximum deduction is EUR 4,000 per child.

8. **Employment-conditional benefits**

8.1 **Conditions for receipt**

a.) Since 1st January 2003, unemployed persons 50 and older can receive special wage protection for older employees (*Entgeltsicherung für ältere Arbeitnehmer* - section 17 Social Code Book III), if they end or prevent their being unemployed by taking up employment that is subject to social security contributions but with a net salary lower than that of their previous employment. Precondition is that the unemployed person owns a residual claim of at least 120 days for unemployment benefit.

b.) Since 1st January 2005, work entry assistance (*Einstiegsgeld* – section 16b Social Code Book II) can be granted as a disregarded subsidy towards the unemployment benefit II, if a person in need of aid who is able to work takes up a dependent employment or self-employed activity in an effort to overcome neediness in the foreseeable future. If and how much work entry assistance will be granted is for the authority responsible for the basic jobseekers allowance to decide.

8.2 **Calculation of benefit amount**

8.2.1 **Calculation of gross benefit**

a.) Half the difference between the net remuneration of the previous employment and that of the newly started employment is balanced by the job agency and paid out to the employee as a subsidy towards the remuneration. At the same time, the contributions to the statutory pensions insurance are topped up to 90% of the contributions paid in the previous employment.

b.) The amount of the work entry assistance can be individually determined on a case by case basis.

8.3 Tax treatment of benefit and interaction with other benefits

a.) The special wage subsidies are exempt from taxes and contributions.

8.4 Benefit duration

a.) The special wage subsidies for older employees are granted for as long as these would have qualified for unemployment benefit.

b.) The work entry assistance can be granted for 24 months at the longest.

8.5 Treatment of particular group

8.5.1 *Young persons*

8.5.2 *Older workers*

8.5.3 *Others if applicable*

9. Lone-parent benefits

supplements for additional needs of unemployment benefit II recipients (Mehrbedarfszuschläge)

Owing to their special life circumstances, recipients of unemployment benefit II who are lone parents, receive an additional needs allowance (cf. 3.2.1.).

Persons with resident underage children whom they raise and care for alone qualify for an additional needs allowance amounting to 36 per cent of the standard benefit due to the person concerned, if they live with one child under age seven or with two or more children under age 16, or 12 per cent of the standard benefit applicable for each child, if this works out to a higher percentage rate than under the first regulation, but not more than 60 per cent of the standard benefit for which the person concerned qualifies.

alimony advance (Unterhaltsvorschuss)

Children of lone parents until the age of 12 will receive additional child support if they did not receive the basic child alimony by the other parent or the alimony is not paid in time or on an irregular basis.

9.1 Conditions for receipt

Alimony advance is granted to children of lone parents until they have completed the age of 12 if they live in Germany and did not receive (or partially or irregularly) alimony by the other parent. Alimony advance is paid for not longer than 72 calendar months.

9.2 Calculation of benefit amount

The support advance for children under the age 6 is EUR 133 per month and afterwards EUR 180 per month.

9.2.1 *Calculation of gross benefit*

9.2.2 *Income and earnings disregards*

9.3 Tax treatment of benefit and interaction with other benefits

The alimony advance will be deducted from unemployment benefit II and social assistance.

9.4 *Benefit duration*

Alimony advance is paid for not longer than 72 calendar months and not longer than the child has completed the age of 12.

9.5 *Treatment of particular group*

None

9.5.1 *Young persons*

9.5.2 *Older workers*

9.5.3 *Others if applicable*

10. Tax system

10.1 Income tax

10.1.1 Tax allowances and credits

Standard reliefs and work-related expenses:

- **Basic reliefs:** none.
- **Standard marital status reliefs:** in the case of joint assessment, specific allowances are doubled. Income tax according to the schedule is computed by the income splitting method.
- **Relief(s) for children:** As of 1 January 2010, there are increased tax credits of EUR 2 208 for the first and the second child, of EUR 2 280 for the third child and of EUR 2 580 for the fourth and subsequent children. There is a tax allowance of EUR 2 184 for the subsistence of a child and an additional EUR 1 320 for minding and education or training needs (EUR 3 504). The amount of this allowance is doubled in case of jointly assessed parents. If the value of the tax credit is less than the relief calculated applying the tax allowances, the taxpayer obtains the tax allowance instead of the tax credit. It is also doubled for lone parents in cases where the other parent does not pay alimony. This is the assumption in the calculations presented in this Report.
- **Relief for lone parents:** allowance of EUR 1308 (household allowance) for taxpayers who live alone with at least one child for whom they receive tax allowances or a tax credit.
- **Reliefs for social security contributions and life insurance contributions:** social security contributions and other expenses incurred in provision for the future (*e.g.* life insurance), are deductible up to specific ceilings. In 2005 a new calculation scheme came into force: Step 1: all contributions to pension funds (*i.e.* both employee's and employer's contributions) are added up. Step 2: the resulting amount is limited to 20 000 EUR. Step 3: a certain percentage is applied to this resulting amount (starting with 60 per cent in 2005, this percentage is increased by 2 percentage points each year, reaching 100 per cent in 2025). Step 4: the resulting amount, diminished by the - tax-free - contributions of the employer is deductible from income. In addition, other social security expenses (health, unemployment and care insurance) up to the amount of EUR 1 500 are deductible. If the resulting amount is lower than the allowance calculation according to the old scheme, the old allowance has to be used (see previous editions of this report).

The tax treatment of social security expenses (health, unemployment and care insurance) changed as of 1 January 2010. Employees' annual contributions to statutory health insurance excluding sickness benefit (assumed to amount to 96 per cent of statutory health contributions) and employees' contributions to mandatory long-term care insurance are deductible from the tax base. In case these contributions do not exceed EUR 1 900/3 800 (single/married couples), contributions to unemployment insurance and other insurances premiums can be deducted in addition up to this ceiling.

If the resulting sum of deductible amounts according the legislation in force since 2005 is lower than the allowance calculated under the scheme that was valid up to 2004, the former regulations are applied in favour of the taxpayer (for more details on the old scheme: see 2005 edition and section 4. of this Report).

- **Work-related expenses:** EUR 1000 lump-sum allowance per gainfully-employed person.
- **Special expenses:** lump sum allowance (EUR 36/72 [singles/couples]) for special expenses, *e.g.* for tax accountancy. When the taxpayer proves that his expenses are higher, they are fully deductible.

10.1.2 *Income tax schedule*

The German tax schedule is formula-based.

The calculations are based on a down to the next full EUR rounded amount of taxable income

- X is the taxable income.
- T is the income tax liability.
- In addition the following definition is used in the income tax liability formulae:

$$Y = (X - 8004)/10000$$
$$Z = (X - 13469)/10000$$

The income tax liability (amounts in EUR) is calculated as follows:

1. $T = 0$ for $X \leq 8\,004$
2. $T = (912.17 Y + 1\,400) Y$ for $8\,005 \leq X \leq 13\,469$
3. $T = (228.74 Z + 2\,397) Z + 1\,038$ for $13\,470 \leq X \leq 52\,881$
4. $T = 0.42 X - 8\,172$ for $52\,882 \leq X \leq 250\,730$
5. $T = 0.45 X - 15\,694$ for $250\,731 \leq X$

These formulae are used directly to calculate the income tax of single individuals.

The income tax liability for spouses who are assessed jointly is computed as follows: the formula income tax is calculated with respect to one-half of the joint taxable income. The resulting amount is doubled to arrive at the income tax liability of the spouses (splitting method).

Solidarity surcharge:

The solidarity surcharge is levied at 5,5 % of the income tax liability, when this liability exceeds an exemption limit of EUR 972/1 944 (singles/couples). The income tax liability is calculated applying the tax allowance for children. Once the income tax liability exceeds the exemption limit, the solidarity surcharge is phased in at a higher rate of 20 per cent of the difference between the income tax liability and the exemption limit till such time that it equals 5.5 per cent of the total liability.

10.1.3 *State and local income taxes*

None

10.2 *Treatment of family income*

Spouses are normally assessed jointly. They have, however, the option of being separately assessed. The income of dependent children is not assessable with that of the parents. The model calculations assume joint taxation of the income of the spouses.

10.3 Social security contribution schedule

10.3.1. Employee contributions

Earnings up to EUR 4 800 per year are free of employee's contributions. From 1 April 2003, there is an additional concession for employees with a monthly income between EUR 400.01 and EUR 800 per month (EUR 4 800.12 and EUR 9 600 per year). Special rules now apply under social security law for employees who fall within this income band. If the employee's income is within the band, the new rules provide for part of it to be exempt from social insurance contributions. Employers are still required to pay their normal contribution on the amount the employees earn. The arrangement is purely intended to relieve the financial burden on employees. The employee contributions due on earnings rise on a straight-line basis within the band. While the 30 per cent contributions on earnings up to EUR 400 are solely paid by employers, employees' earning EUR 400.01 per month pay a rate of 9.83 per cent, whereas the employers pays full contributions of 20.18 per cent. Together they pay 30 per cent, the same rate as for earnings up to EUR 400 (the real aggregate rate differs slightly because since January 2011 health insurance companies are allowed to charge an additional contribution to cover their costs, the 0.9 basis points of health insurance borne solely by employee and the occasionally increased care insurance rate for childless employees). The employee contributions to social insurance then rise over the income band reaching the full rate at EUR 800 per month. Details on social security contributions for workers earning above EUR 9 600 per year are provided below.

10.3.11. Pensions

Employers and employees pay each half of the contribution rate of 19.6 per cent in 2012, that is 9.80 per cent of the employee's gross wage earnings, up to a contribution ceiling of EUR 67 200.

10.3.12. Sickness

In the year 2012 employers paid 7.3 per cent and employees 8.2 per cent of the gross wage. The contribution ceiling is EUR45 900.. While all calculations shown in this report assume membership in the public health insurance, workers with earnings above the contribution ceiling may opt out of the mandatory public health insurance system and may choose a private insurance provider instead (those opting for a private health insurance provider are required to also obtain private long-term care insurance).

10.3.13. Unemployment

Employees pay half of the insurance contributions; the employer pays the other half. In 2012, the contribution rate is 3 per cent of assessable income. Employee and employer each pay 1.5 per cent. The contribution ceiling is EUR 67 200 (West),.

10.3.14 Care

A long-term care insurance (a 1 per cent contribution rate) went into effect on 1 January 1995. The rate was raised to 1.7 per cent of the gross wage when home nursing care benefits were added six months later. From 1 July 2008 the rate was increased to 1.95 per cent. The employers pay half of the contributions for long-term care insurance. In other words, employers and employees both pay a rate of 0.975 per cent. The assessable income is scaled according to the gross wage earnings but there is a contribution ceiling of EUR 45 900 in 2012.

As from 1 January 2005, child-raising is given special recognition in the law relating to statutory long-term care insurance. Childless contribution payers are required to pay a supplement of 0.25 per cent, raising the contribution rate paid by a childless employee from 0.85 per cent to 1.1 per cent and from 0.975 per cent to 1.225 per cent as of 1 July 2008.

10.3.15. *Work injury*

Employer only.

10.3.16. *Family allowances*

None.

10.3.17. *Others*

None.

10.3.2 *Contributions payable by employers*

If employees have income up to EUR 4 800, there are special rules with respect to tax and social security contributions. All social security contributions and taxes are paid by the employer. The payment amounts to 30 per cent of the wage. This payment consists of a 28 per cent social security contribution rate and a 2 per cent tax rate. For employers contributions for annual earnings between EUR 4 800.01 and EUR 9 600.

Germany has established a statutory occupational accident insurance. It is provided by industrial, agricultural and public-sector employers' liability insurance funds. This insurance protects employees and their families against the consequences of accidents at work and occupational illnesses. It is funded through the contributions paid by employers only. The amount of the employer's contributions depends on the sum total of employee annual pay and the employer's respective hazard level. As it is not possible to identify a representative contribution rate, these amounts are not considered in this Report.

10.3.3 *Payroll taxes*

10.4 *Treatment of particular group*

10.4.1 *Young persons*

10.4.2 *Older workers*

10.4.3 *Others if applicable*

11. *Part-time work*

11.1 *Benefit rules for part-time work*

People earning less than EUR 400/month do not qualify for unemployment insurance. People receiving UI can work less than 15 hours/week; working more destroys all benefit entitlements (see Section 2.2.2).

11.2 *Special tax and social security contribution rules for part-time work*

- For earnings up to EUR 400/month the employer pays 30% contribution (15% pension insurance, 13% health insurance, 2% tax). For part-time work in private households the employer's contribution is 12% (5% health and pension insurance, 2% tax). Furthermore the part-time worker has the option to increase the contribution for full entitlement to pension insurance.

- People earning between EUR 400,01 and EUR 800 per month pay contributions increasing by arithmetic progression from ca. 115% to full employee's contribution to all branches of social insurance with full insurance benefits. The employer pays full employer's contribution.

12. Policy development

12.1 Policy changes introduced: 2nd July 2011 – 1st July 2012

The law to improve peoples' prospects of reintegration in the labour market redesigned the labour market instruments (SGB III) entered in too force 1st April 2012. The law increased the scope of integration measures and underlines the priority of help designed to get people integrated into the labour market.

12.2 Future policy changes announced since 1st July 2012

ANNEX

Proposed addition to country note to facilitate future updates of the tax/benefit model

$$HA = 1.08 * (M - (a+b*M+c*Y) * Y) \quad [\text{for } HA \geq \text{EUR } 10 \text{ otherwise } 0]$$

Household size ¹ (persons)	Parameters of the rent burden function			Monthly household income (EUR)	
	a	b	c	Minimum Y _{min}	Maximum ² Y _{max}
1	6.3/100	7.963/10 000	9.102/100 000	210	820
2	5.7/100	5.761/10 000	6.431/100 000	250	1 130
3	5.5/100	5.176/10 000	3.250/100 000	270	1 380
4	4.7/100	3.945/10 000	2.325/100 000	320	1 810
5	4.2/100	3.483/10 000	2.151/100 000	350	2 080
6	3.7/100	3.269/10 000	1.519/100 000	370	2 340

1. Parameters also exist for household sizes from 7 to 12 persons.

2. level of rent: category III.

Note: Lump sum deductions on income are: 6, 10, 20 and 30 per cent. These deductions are made from the income of each household member. Deductions depend on the payment of 1. taxes, 2. contributions to health and nursing care insurance and 3. old age insurance (see section 16 of the Housing Allowance Act). If one of these conditions is fulfilled 10% are deducted, 20% if two conditions are fulfilled and 30% if all three conditions are fulfilled. If none of the three conditions is fulfilled 6% are deducted.

Rules for calculating procedures and rounding (Annex 2 Housing Benefit Act):

To determine the housing benefit it is indispensable to follow the steps of calculation in the exact order.

Rules for calculating procedures and rounding (Annex 2 Housing Allowance Act):

To determine the housing allowance it is indispensable to follow the steps of calculation in the exact order.

1. “M” is the rounded monthly rent or home loan repayment to be taken into account (second sentence of Section 19 (1) of the Housing Allowance Act). When converting (“M*” to “M”, i.e. the unrounded monthly rent or home loan repayment to be taken into consideration for the purposes of Sections 7 and 8 of the Act, the following shall apply:
To determine “M”, “M*” is rounded upward to the next higher full amount in euros that can be divided by 10 without leaving a remainder, provided “M” cannot simply be divided by 10 without leaving a remainder. If “M*” can be divided by 10 without leaving a remainder, “M*” is not changed. 5 euros must be subtracted from the resulting amount in all cases.

2. “Y” is the rounded monthly total income in euros (third sentence of section 19 (1) of the Act). “Y” is determined by rounding “Y*”, i.e. the unrounded total monthly income to be taken into consideration for the purposes of section 13 of the Act, upward to the next higher full amount in euros that can be divided by 10 without leaving a remainder, provided it cannot simply be divided by 10 without leaving a remainder. If “Y*” can be divided by 10 without leaving a remainder, “Y*” is not changed. 5 euros must be subtracted from the resulting amount in all cases.

3. Any values for “M” and “Y” which are below the values set out in the following table shall be replaced by the figures in the table:

	1-person household	2-person household	3-person household	4-person household	5-person household	6-person household
M	45	55	65	75	85	85
Y	205	245	265	315	345	365
	7-person household	8-person household	9-person household	10-person household	11-person household	12-person household
M	95	105	115	125	155	245
Y	385	415	585	805	1085	1255

4. The unrounded monthly rent or home-ownership subsidy is obtained by putting the values for “a”, “b”, “c” (Annex 1 of the Act) and for “M” and “Y” into the formula set out in the first sentence of Section 19 (1) of the Act and by carrying out the following four calculations:

Calculation of the decimal numbers

$$z1 = a + b \cdot M + c \cdot Y,$$

$$z2 = z1 \cdot Y,$$

$$z3 = M - z2$$

$$z4 = 1.08 \cdot z3$$

In carrying out this calculation, the decimal numbers must be calculated as fixed decimal point numbers to ten decimal places.

5. This unrounded monthly rent or home-ownership subsidy must be rounded upward to the next higher full amount in euros if the remaining amount in cents without rounding is greater than or equal to 50; it must be rounded downward to the next lower full amount in euros if the remaining amount in cents without rounding is less than 50.

Reference date for all information is **July 1st 2012**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

2011

Child Care

(grey: minimum fee)

Net Income (month)	Krippe/Kindergarten < 6y; 50 h/w (6y; 50h/w)					Krippe/Kindergarten 3y to 5y; 30 h/w					Hort 6y to 14y, school children; 35h/w				
	monthly fee for the for the child in € household size (persons)					monthly fee for the first child in € household size (persons)					monthly fee for the first child in € household size				
	2	3	4	5	6	2	3	4	5	6	2	3	4	5	6
1022	43 (16)	43 (16)	43 (16)	43 (16)	43 (16)	31	31	3	31	31	36	36	36	36	36
1023	44 (17)	43 (16)	43 (16)	43 (16)	43 (16)	31	31	31	31	31	36	36	36	36	36
1074	45 (17)	43 (16)	43 (16)	43 (16)	43 (16)	32	31	31	31	31	37	36	36	36	36
1125	47 (18)	43 (16)	43 (16)	43 (16)	43 (16)	33	31	31	31	31	39	36	36	36	36
1176	49 (19)	43 (16)	43 (16)	43 (16)	43 (16)	34	31	31	31	31	40	36	36	36	36
1227	51 (19)	43 (16)	43 (16)	43 (16)	43 (16)	36	31	31	31	31	42	36	36	36	36
1278	54 (20)	43 (16)	43 (16)	43 (16)	43 (16)	38	31	31	31	31	44	36	36	36	36
1329	57 (22)	44 (17)	43 (16)	43 (16)	43 (16)	40	31	31	31	31	47	36	36	36	36
1380	61 (23)	48 (18)	43 (16)	43 (16)	43 (16)	43	34	31	31	31	51	40	36	36	36
1432	67 (25)	54 (20)	43 (16)	43 (16)	43 (16)	47	38	31	31	31	55	44	36	36	36
1483	73 (27)	60 (23)	43 (16)	43 (16)	43 (16)	52	42	31	31	31	60	50	36	36	36
1534	79 (30)	66 (25)	43 (16)	43 (16)	43 (16)	56	47	31	31	31	65	54	36	36	36

1585	85 (32)	72 (27)	43 (16)	43 (16)	43 (16)	60	51	31	31	31	70	59	36	36	36
1636	92 (35)	78 (29)	43 (16)	43 (16)	43 (16)	64	55	31	31	31	75	64	36	36	36
1687	99 (37)	86 (32)	51 (19)	43 (16)	43 (16)	70	61	36	31	31	82	71	42	36	36
1738	108 (41)	95 (36)	60 (23)	43 (16)	43 (16)	76	67	42	31	31	89	78	50	36	36
1790	117 (44)	103 (39)	69 (26)	43 (16)	43 (16)	82	73	49	31	31	96	85	57	36	36
1841	125 (47)	112 (42)	77 (29)	43 (16)	43 (16)	88	79	55	31	31	103	93	64	36	36
1892	135 (51)	122 (46)	87 (33)	43 (16)	43 (16)	95	86	61	31	31	111	100	72	36	36
1943	145 (54)	132 (50)	97 (36)	54 (20)	43 (16)	102	93	69	38	31	120	109	80	44	36
1994	156 (58)	144 (55)	109 (41)	65 (24)	43 (16)	110	101	77	46	31	129	118	89	54	36
2045	169 (64)	155 (58)	121 (46)	77 (29)	43 (16)	119	110	85	55	31	139	128	100	64	36
2096	182 (69)	169 (64)	134 (51)	90 (34)	43 (16)	128	119	95	64	31	150	139	110	75	36
2147	195 (74)	182 (69)	147 (55)	103 (39)	51 (19)	138	128	104	73	36	161	150	121	85	42
2199	208 (78)	195 (74)	160 (60)	117 (44)	64 (24)	147	138	113	82	46	171	161	132	96	53
2250	221 (83)	208 (79)	173 (65)	129 (48)	77 (29)	156	147	122	92	55	182	171	143	107	64
2301	234 (88)	221 (84)	186 (70)	143 (54)	90 (34)	165	156	131	101	64	193	182	153	118	75
2352	247 (93)	234 (89)	199 (75)	155 (58)	103 (39)	174	165	141	110	73	203	193	164	128	85
2403	261 (98)	248 (94)	213 (80)	170 (64)	118 (45)	184	175	150	120	83	207	204	175	140	97
2454	275 (103)	262 (99)	228 (86)	184 (69)	132 (50)	194	185	161	130	93	207	207	187	151	108

2505	290 (109) 305	277 (104) 292	242 (91) 257	198 (74) 214	146 (55) 162	205	195	171	140	103	207	207	199	164	121
2556	(113) 321	(110) 308	(97) 273	(81) 230	(61) 177	215	206	182	151	114	207	207	207	176	133
2608	(129) 337	(116) 324	(103) 289	(87) 245	(66) 193	227	217	193	162	125	207	207	207	189	146
2659	(145) 353	(132) 341	(109) 306	(92) 262	(72) 210	238	229	204	173	137	207	207	207	202	160
2710	(161) 370	(149) 357	(114) 323	(99) 279	(79) 227	250	240	216	185	148	207	207	207	207	173
2761	(178) 388	(165) 375	(131) 340	(105) 297	(86) 244	261	252	228	197	160	207	207	207	207	187
2812	(196) 396	(183) 393	(148) 358	(112) 314	(92) 262	274	264	240	209	172	207	207	207	207	201
2863	(204) 396	(201) 396	(166) 376	(122) 332	(99) 280	286	277	253	222	185	207	207	207	207	207
2914	(204) 396	(204) 396	(184) 394	(140) 351	(105) 299	299	290	265	235	198	207	207	207	207	207
2965	(204) 396	(204) 396	(202) 396	(159) 369	(113) 317	307	303	278	247	211	207	207	207	207	207
3017	(204) 396	(204) 396	(204) 396	(177) 387	(125) 335	307	307	291	260	223	207	207	207	207	207
3068	(204) 396	(204) 396	(204) 396	(195) 396	(143) 353	307	307	304	274	237	207	207	207	207	207
3119	(204) 396	(204) 396	(204) 396	(204) 396	(161) 372	307	307	307	286	250	207	207	207	207	207
3170	(204) 396	(204) 396	(204) 396	(204) 396	(180) 390	307	307	307	299	262	207	207	207	207	207
3221	(204) 396	(204) 396	(204) 396	(204) 396	(198) 396	307	307	307	307	275	207	207	207	207	207
3272	(204) 396	(204) 396	(204) 396	(204) 396	(204) 396	307	307	307	307	288	207	207	207	207	207
3323	(204) 396	(204) 396	(204) 396	(204) 396	(204) 396	307	307	307	307	301	207	207	207	207	207
3375	(204)	(204)	(204)	(204)	(204)	307	307	307	307	307	207	207	207	207	207

3425	396 (204)	396 (204)	396 (204)	396 (204)	396 (204)	307	307	307	307	307	207	207	207	207	207
3475	396 (204)	396 (204)	396 (204)	396 (204)	396 (204)	307	307	307	307	307	207	207	207	207	207
3525	396 (204)	396 (204)	396 (204)	396 (204)	396 (204)	307	307	307	307	307	207	207	207	207	207
3575	396 (204)	396 (204)	396 (204)	396 (204)	396 (204)	307	307	307	307	307	207	207	207	207	207
3625	396 (204)	396 (204)	396 (204)	396 (204)	396 (204)	307	307	307	307	307	207	207	207	207	207
3675	396 (204)	396 (204)	396 (204)	396 (204)	396 (204)	307	307	307	307	307	207	207	207	207	207
3725	396 (204)	396 (204)	396 (204)	396 (204)	396 (204)	307	307	307	307	307	207	207	207	207	207
3775	396 (204)	396 (204)	396 (204)	396 (204)	396 (204)	307	307	307	307	307	207	207	207	207	207
3825	396 (204)	396 (204)	396 (204)	396 (204)	396 (204)	307	307	307	307	307	207	207	207	207	207
3875	396 (204)	396 (204)	396 (204)	396 (204)	396 (204)	307	307	307	307	307	207	207	207	207	207
3925	396 (204)	396 (204)	396 (204)	396 (204)	396 (204)	307	307	307	307	307	207	207	207	207	207

Reference date for all information is **July 1st 2012**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

2011 Child Care (grey: minimum fee)	monthly fee for the first child in €, household size (persons)	
	Krippe < 3y; 20 h/w	
Net Income* (month)	3	4
1022	26	26
1023	26	26
1074	26	26
1125	26	26
1176	26	26
1227	26	26
1278	26	26
1329	26	26
1380	29	26
1432	32	26
1483	35	26
1534	39	26
1585	42	26
1636	46	26
1687	51	30
1738	56	35
1790	61	40
1841	66	46
1892	72	51
1943	78	57
1994	84	64
2045	92	71
2096	99	79
2147	107	86
2199	115	94
2250	122	102
2301	130	109
2352	138	117
2403	146	125
2454	153	134
2505	153	143
2556	153	151
2608	153	153